

Massive Hike in Excise Duty of Cigarette, Tobacco products

- By Ankit Agrawal

Cigarette, Pan Masala Prices Set To Rise From February 1 As Govt Hikes Excise After 7-Year Freeze

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Cigarettes will attract more excise duties ranging from Rs 2,050 to Rs 8,500 per 1,000 sticks, depending on their length. Chewing tobacco will be taxed under machine-based system.

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Background: Why Is This News Important?

Cigarette pricing in India has long been a **public health + revenue policy issue**. India is among the world's largest consumers of tobacco, but paradoxically **tax incidence on cigarettes has remained relatively low** compared to global standards.

The **new Central Excise framework** signals a **structural shift**:

- From moderate, slab-based duties
- To **very high, specific excise duties** aimed at sharply raising retail prices

What Exactly Has the Government Done?

New Excise Framework

- **major overhaul of Central Excise on tobacco products**
- The move re-introduces **high specific excise duty**, over and above GST
- Earlier, post-GST (2017), excise was partially rolled back and replaced by **cess**

Now, **excise duty is back as a dominant component**.

Effective Date

- The new excise structure comes into force from **1 February 2026**

How Cigarettes Are Taxed in India (Before vs After)

Earlier Structure

1. GST: 40%
2. Compensation Cess: slab-based
3. Nominal Central Excise

New Structure

1. GST 40% – unchanged
2. Compensation Cess – continues
3. **Massively increased Central Excise duty**

What exactly has changed?

Till now, cigarettes were taxed mainly through GST and a value-based levy. From February 1, the Centre is reintroducing a specific excise duty, charged per 1,000 sticks, based on:

- whether the cigarette is filtered or non-filtered, and
- its length, measured in millimetres (including the filter length)

The excise duty now ranges from ₹2,050 to ₹8,500 per 1,000 cigarettes, depending on the category.

In simple terms: the longer the cigarette, the higher the tax.

How this translates to real money per cigarette

Breaking it down per stick makes the impact clearer:

- Short, non-filter cigarettes (up to 65 mm): about ₹2.05 per stick
- Short, filter cigarettes (up to 65 mm): about ₹2.10 per stick
- Medium-length cigarettes (65–70 mm): about ₹3.6 to ₹4 per stick
- Long, premium cigarettes (70–75 mm): about ₹5.4 per stick

There is also an “other” category with a much higher duty of ₹8,500 per 1,000 sticks, but this applies only to unusual or non-standard designs. Most popular brands do not fall into this slab.

How Much Will Cigarettes Cost After February 1?

The price impact will vary by brand and size. However, industry estimates suggest a noticeable jump in retail prices.

A cigarette currently priced at ₹18 per stick is expected to cost around ₹21 to ₹22 after the new excise duty takes effect. This reflects an increase of nearly 15–20%, depending on how companies pass on the tax burden to consumers.

A standard pack of cigarettes is also likely to become significantly costlier, affecting daily smokers the most.

Will prices rise by the same amount?

Cigarette companies have a few options. Higher duties are expected to push prices up, especially for longer and filter cigarettes, as manufacturers pass the added tax burden on to consumers.

But the response won't be uniform. Companies may absorb part of the increase to protect sales volumes in mass-market brands. Some could stagger the hikes, rolling them out in phases. For premium and longer cigarettes, where smokers are typically less price-sensitive, manufacturers are more likely to pass on the full increase upfront.

What this means is that while the excise duty creates the pressure, the final price smokers pay will depend on how companies choose to play it in the coming weeks.

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Why the Government Is Doing This

(A) Public Health Objective

- Tobacco causes **~13 lakh deaths annually in India**
- Price increase is the **single most effective deterrent**, especially for:
  - Youth
  - First-time users
  - Low-income smokers

(B) Revenue Considerations

- Tobacco contributes **₹70,000+ crore annually**
- Higher taxes can:
  - Offset GST compensation losses
  - Fund health expenditure
  - Support anti-tobacco programmes

(C) Policy Signalling

- Reinforces India's commitment under:
  - WHO Framework Convention on Tobacco Control (FCTC)
- Aligns taxation with **"sin goods" philosophy**

What about GST and total tax on cigarettes?

The new excise duty applies over and above GST, which has been rationalised to either 18% or 40%, depending on the product. At the same time, the government has withdrawn the GST compensation cess on tobacco.

Even after this change, total taxes on cigarettes in India make up roughly 53% of the retail price, which is still below the World Health Organization's 75% benchmark aimed at discouraging smoking.

Will Smoking Actually Reduce?

Evidence from Past Increases:

- Price elasticity of demand for cigarettes in India: **–0.4 to –0.6**
- Meaning:

10% price rise → 4–6% fall in consumption

Risks & Criticisms

(A) Shift to Cheaper Alternatives

- Bidis
- Loose cigarettes
- Illicit / smuggled tobacco

(B) Black Market Expansion

- Past experience shows sharp tax hikes may:
  - Increase tax evasion
  - Encourage counterfeit cigarettes

(C) Regressive Impact

- Poor smokers spend a higher share of income
- Requires parallel **cessation support & awareness**

Duty Hike On Tobacco Products

Alongside excise changes, GST rates on tobacco products have been rationalised. The earlier 28% slab has been removed, with products now taxed either at 18% or at the statutory ceiling of 40%, depending on the category.

Smokeless tobacco products are also set to become costlier. Chewing tobacco, jarda scented tobacco and gutkha will now be taxed under a machine-capacity-based excise system introduced through the new Packing Machines Rules, 2026. The levy will be determined by factors such as the number of machines installed, their speed and output, and the retail sale price of the pouches.

Q. India is a signatory to the WHO Framework Convention on Tobacco Control (FCTC). Which of the following is/are objectives of the FCTC?

1. Promote tobacco as a commercial crop

2. Encourage higher taxation on tobacco products

A) 1 only
B) 2 only
C) Both 1 & 2
D) None of the above



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